

Money Mistake: You Use Your Partner's Credit Card

THE FIX: ESTABLISH YOUR OWN CREDIT RATING—FAST!

Credit cards are the primary culprit behind most compulsive spending and personal debt. But I'm not advocating that you avoid credit cards altogether. You need a credit rating of some kind, or you can't qualify for a mortgage and other financial products you may need. In other words, even though credit cards can be dangerous, it's worse if you *don't* have one. My wife experienced this dilemma firsthand. When we got married more than twenty years ago, we folded what little money we had together into one account. We had one checking account and one credit card, in my name, but we each carried a version of the card. For decades, we never really thought much about that division, until many years later, when Linda wanted to apply for a department store credit card. Despite our household income, she was declined. She hadn't, in all those years, established *any credit rating whatsoever*, which, we discovered, is almost as bad as having a poor rating. This is a frightening prospect, and it's a conundrum that traps a lot of women—especially widows, like the one I met in Beacon Hill, who had no idea whose name her credit cards were in. Had anything happened to me, Linda would have had a very tough time applying for a card to establish a credit history. It's an awful thing to learn at the funeral of your partner that you can't function financially. Without a credit rating, you can't borrow money or own property, your largest potential asset. Get wise, and establish a credit rating now.

We didn't make the same mistakes with our children. As soon as my daughter, Savannah, was old enough and living on her own, she applied for a credit card. I sat down with her and walked her through the small print that outlines how compound interest allows the bank to own her soul until she's solvent or dies. I also explained to her that she should have a separate no-fee, low-limit credit card for purchases online. Why do this? Internet fraud is insidious and hard to stanch. If an online thief gets hold of your secondary credit card number, at least the damage will be limited.